

Session 4: VC Contracts

Entrepreneurial Finance & Venture Capital | Imperial Business School

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Lecture notes compiled from slides and transcript

This session focuses on **VC contracts** — the legal mechanisms that govern the relationship between entrepreneurs and investors. Contracts serve two core purposes: allocating **cash flow rights** (who gets what money, when) and **control rights** (who makes key decisions). Understanding these terms is essential whether you are raising money, joining a startup, or investing.

Key insight from the lecture: The post-money valuation shown in a cap table assumes all preferred stock converts to common stock — it reflects the *good times* scenario. The actual split of cash in bad times depends entirely on the contract terms, which the cap table does not show.

1. Why Contracts Exist

Misaligned Incentives

Entrepreneurs and VCs share some goals (company success, financial returns) but differ on others. Contracts exist to pre-agree the rules so that, when conflicts arise, everyone knows who gets what cash and who has decision-making power.

Entrepreneurs care about...	VCs care about...
Building a successful company	Maximising portfolio returns
Maintaining value and control	Sound investment decisions across all portfolio firms
Getting expertise and contacts	Participating in follow-on rounds
Sharing risk with investors	Achieving liquidity (IPO or M&A)
Financial rewards if successful	Building their own reputation

Three Categories of Contract Terms

- **Cash flow rights** — who gets how much money and in what order
- **Control rights** — who makes key decisions, independent of ownership %
- **Liquidity/exit provisions** — mechanisms to encourage and govern exits

2. Cash Flow Rights

Post-Money Valuation

When an investor gives you cash in exchange for equity, the valuation sets the price per share and therefore the investor's ownership percentage. The post-money valuation = pre-money + investment raised.

Liquidation Preference

Preferred stock holders get paid **before** common stockholders when there is a liquidation event (which includes M&A, not just bankruptcy). The standard is **1× the original investment**, but can be 1.5×, 2×, or higher.

Example from lecture: Investor puts in £5M with a 2× liq. pref. Company sells for £10M. Investor takes £10M (2 × £5M). Founder gets zero — regardless of what the cap table shows.

- Always ask: what multiple of liquidation preference does the investor have?

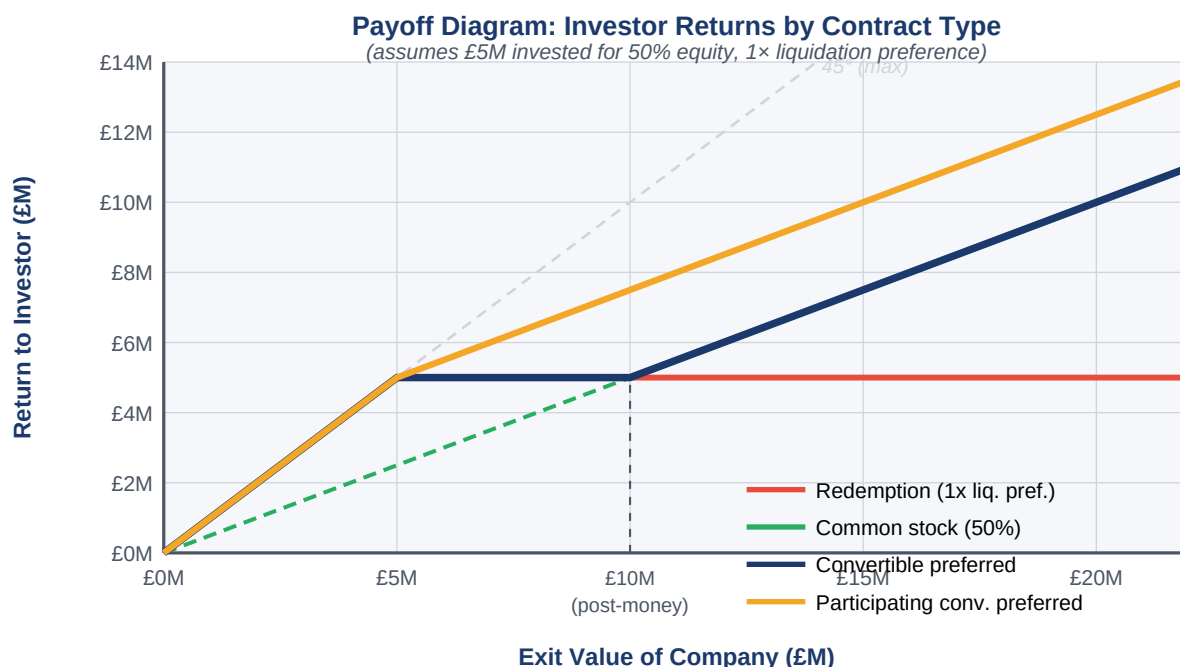
Convertible Preferred Stock

The most common VC instrument. The investor holds preferred stock that can be **converted into common stock** at any time, at their choice. This gives them a choice at a liquidity event: redeem (take liq. pref.) or convert (take their % of total value). They will always choose whichever gives more money.

- Redeem when: exit value < post-money valuation (downside protection)
- Convert when: exit value > post-money valuation (upside participation)

The crossover point (indifference) is always at the post-money valuation. Cap tables show the converted (upside) scenario only.

Payoff Diagram — Reconstructed from Lecture



Reading the diagram:

- Red line (Redemption): investor takes 100% up to £5M, then flat — same as debt
- Green dashed (Common stock): investor always gets 50% of exit value
- Navy line (Convertible preferred): follows redemption until £10M, then converts — the 'kinked' payoff

- Gold line (Participating convertible preferred): always gets liq. pref. PLUS ownership share — 'double dipping'

Participating Convertible Preferred ('Double Dipping')

Here the investor does **not** have to choose between redeeming and converting. They get **both**: they take the liquidation preference first, then participate in the remaining proceeds as if they had converted. This is the 'double dip'.

The lecture worked through a numerical example (£5M invested for 50%, 1× liq. pref.):

Exit Value	Convertible Pref.	Participating Conv. Pref.	Difference
£3M	£3M	£3M	—
£5M	£5M	£5M	—
£10M	£5M	£7.5M	+£2.5M to investor
£20M	£10M	£12.5M	+£2.5M to investor

Key insight: a 'post-money valuation' with participating convertible preferred is worth less to the entrepreneur than the same valuation with plain convertible preferred — because the investor captures more cash in every scenario. The headline number looks the same; the fine print is what matters.

Dividends

- **Non-cumulative:** dividends only paid if declared by the board — rarely triggered in practice
- **Cumulative (compounding):** dividends accrue whether or not declared; add to the liquidation preference — much more investor-friendly

Anti-Dilution Provisions

These only bite in a **down round** — when new money comes in at a price lower than the previous round's price. They protect the investor by lowering their conversion price, effectively increasing their ownership.

- **Full Ratchet:** conversion price drops to the new (lower) price. Even one share issued at a lower price reprices all the investor's shares. Extremely investor-friendly, rare in sophisticated markets. Prof. Nanda: 'Be prepared to walk away — it's bad faith.'
- **Weighted Average Ratchet:** the new conversion price is a weighted average of old and new price, taking into account the number of shares issued. Much fairer and the standard.

Formula (weighted average): $\text{New CP} = \text{Old CP} \times (A + C) / (A + D)$ where A = shares outstanding before transaction, C = shares that would have been issued at old price, D = shares actually issued at new price. The more shares issued at the lower price, the more the ratchet bites.

3. Control Rights

A critical insight from the lecture: **control is not proportional to ownership**. A VC with 25% of fully diluted equity can have effective veto over almost every major decision from day one, simply by holding preferred stock with the rights below.

Board Representation & Voting Rights

- Preferred holders elect one or more board members regardless of % ownership

- The board appoints and fires the CEO — one of the most consequential powers
- Steve Jobs was famously fired by his own board; this is more the rule than the exception when investor-entrepreneur alignment breaks down

Protective Provisions (Negative Covenants)

So long as any preferred shares are outstanding, the investor must approve:

- Any liquidation, dissolution, merger or M&A;
- Amendments to the corporate charter or bylaws
- Creating new share classes or issuing new shares senior/pari passu to preferred
- Paying dividends or buying back common stock
- Creating new debt securities
- Raising a new round of financing (especially if new money comes in senior)
- Hiring, firing or changing compensation of executive officers
- Changing the principal business or entering new lines of business

Practical implication: you cannot raise your next round of financing without your existing investors' written consent. If the company is running low on cash and the existing VC cannot (or will not) bridge you, this becomes a powerful point of leverage.

How Contracts Evolve Across Rounds

Every new funding round creates a new contract that supersedes the old one. Board seats can be renegotiated, earlier investors may leave the board, later investors join. Series B is typically pari passu or senior to Series A — later investors often have more negotiating leverage because the company needs their money to survive.

4. Syndication & Exit Terms

Why Syndicates?

No single VC typically has enough capital to take a company all the way to cash-flow positive, and they want to diversify. This creates syndicates of multiple investors — but also introduces potential conflicts between investors who joined at different stages, with different fund sizes and timelines.

Preemptive Rights (Right of First Refusal on New Shares)

- Gives investors the right to participate in future rounds to maintain their % ownership
- If you are a VC and things are going well, you definitely want this contractual right
- Follow-on investments are typically made within the same fund — investing across different funds is frowned upon by LPs

Pay-to-Play

- In a down round or bridge round, all investors in the syndicate must participate pro-rata
- Investors who don't participate lose their anti-dilution protection (and possibly their board seat)
- Prevents free-riding: you can't benefit from others' risk capital without taking risk yourself

Good for entrepreneurs: pay-to-play provisions reduce moral hazard in the syndicate and ensure investors who aren't pulling their weight lose their preferential terms.

Redemption Rights

- The investor can 'put' their preferred stock back to the company and demand repayment
- Prevents the company from becoming a lifestyle business — forces a liquidity event
- Standard: exercisable only after 5 years from investment; spread across 3 annual instalments (years 6, 7, 8)
- As entrepreneur: push the redemption date as far out as possible

Tag-Along / Drag-Along Rights

- **Tag-Along:** if a founder tries to sell their shares, the VC has the right to sell alongside them on the same terms
- **Drag-Along:** if the board and majority shareholders approve a sale, they can force all shareholders (including reluctant ones) to sell
- Both provisions ensure the VC can achieve liquidity — which is core to their business model

5. Employee Terms

Employee Stock Option Pool (ESOP)

- Typically 10–15% of fully diluted post-money capitalisation
- Critical timing question: is the pool created before or after the financing?

If the pool is created before (or concurrent with) the financing, only the existing shareholders (founders) are diluted — not the VC. If created after, both founders and VCs are diluted. VCs will push for a larger pre-financing pool; entrepreneurs should push back and size it to cover only hires needed before the next round.

- Unexercised options don't revert to founders — they simply cease to exist, which increases the VC's % ownership
- A larger option pool = a signal of more hires planned = potentially a signal the VC wants to replace the founding team

Vesting

Vesting ties equity to continued contribution. The standard schedule is **25% cliff after year 1**, then monthly over the next 36 months.

- Two legal framings (economically identical): (1) options granted but only exercisable upon vesting; (2) shares granted but subject to company buyback at cost for unvested portion
- Prof. Nanda's recommendation: use vesting agreements even between co-founders before any VC involvement — it makes departures much cleaner
- If a co-founder leaves early without vesting, their shares sit as 'deadweight' on the cap table, reducing everyone else's incentives

Accelerated Vesting

- **Single trigger:** company is acquired → all unvested shares vest immediately. Gives founders/employees a payout but reduces the acquirer's ability to retain them
- **Double trigger:** company is acquired AND the employee is terminated without cause → shares vest. More common; balances retention incentives with employee protection

Non-Compete Clauses

- 1–2 year non-compete on founders and key employees
- Enforceability varies by jurisdiction (e.g., largely unenforceable in California)
- In practice, companies rarely sue departing employees unless IP is at significant risk

Common Stock vs. Preferred Stock Pricing

Common stock (held by employees and founders) is valued at a **discount** to preferred stock because it lacks liquidation preference, anti-dilution rights, etc. This discount is typically 10–15% of the preferred price (set by an independent 409A valuation in the US, or similar).

- This is good for employees: lower strike price on options means larger spread at exit
- But: the company has an incentive to keep the common price low (to keep option strike prices low), creating tension with employees who want to sell secondary shares at a higher price
- Right of First Refusal (ROFR): company can match any secondary share sale offer. The mere threat of ROFR suppresses secondary market activity

6. Worked Example: Exhibit 1 Cap Table

From the term sheet: Delta Partners (1.5M shares) + Omega Partners (0.5M shares) = 2M VC shares at \$1/share = \$2M raised. Post-money valuation = \$8M. ESOP = 12.5% of post-money.

Party	# Shares	% Ownership	\$ Value
Founders	5,000,000	62.5%	\$5,000,000
VCs (Delta + Omega)	2,000,000	25.0%	\$2,000,000
ESOP Pool	1,000,000	12.5%	\$1,000,000
TOTAL (Post-money)	8,000,000	100.0%	\$8,000,000

How to solve it (the 'Sudoku' approach):

- VC shares: $2M \times \$1 = \$2M \rightarrow \$2M / \$8M = 25\%$
- ESOP: $12.5\% \text{ of } \$8M = \$1M \rightarrow 1M \text{ shares at } \1
- Founders: residual $\rightarrow \$8M - \$2M - \$1M = \$5M \rightarrow 5M \text{ shares} \rightarrow 62.5\%$
- Pre-money valuation: $\$8M - \$2M = \$6M$ (includes both founder shares and ESOP)

If the ESOP had been created after the financing, the VCs would also have been diluted. By creating the pool at the same time as the financing (but applied to the pre-money cap table), only the founders' ownership dropped from 75% to 62.5%. The VCs kept their 25%.

7. Key Takeaways

1. The cap table is not the full story.

It shows the good-times scenario. Liquidation preference and other contract terms determine who actually gets paid in the majority of exits (which are modest, not Nvidia).

2. Preferred stock $\neq$ common stock.	VCs buy preferred stock that combines debt-like downside protection with equity-like upside. Participating preferred ('double dipping') captures both simultaneously.
3. Control is not proportional to ownership.	A 25% ownership stake plus preferred stock can give veto power over almost all major decisions from day one.
4. Full ratchet anti-dilution is a red flag.	It signals either a clueless investor or a bad-faith offer. Consider walking away.
5. Timing of the option pool matters.	Pre-financing pool = founders bear all dilution. Post-financing pool = dilution shared. Size the pool for what you actually need before the next round.
6. Vesting is your friend (even without VCs).	Use it from the start between co-founders. It makes departures clean and keeps everyone incentivised.
7. Read the fine print.	Two deals with identical post-money valuations can have very different actual values depending on liquidation multiples, participation rights, and anti-dilution provisions.